STATUTORY WARNING

SMOKING AND ALCOHOL CONSUMPTION IS INJURIOUS TO HEALTH

STATUTORY WARNING

For a safe journey, wearing a helmet is mandatory. Violation of traffic rules invites accidents.

Road safety is life safety

STATUTORY WARNING

MUTUAL FUNDS Sahi Hai

Investments are subject to market risks.
Please read all related documents carefully before investing

Disclaimer

Videos/Images shown in this training session
Is to just educate you and enhance your decision making skills

From Daily Life to Business

Risk Management

How everyday decisions prepare us for smarter business choices

Risk Is All Around Us !

Every day, we make decisions that involve **risk**

From crossing the street to investing money, or from starting a business to running one.

But how do these everyday choices relate to risk management? Understanding risk begins with recognizing the possibility of loss or an undesired outcome.

Is Risk & Uncertainty are Same ?

Risk

You know the possible outcomes and their probabilities.

→ You can measure it.

Uncertainty

You don’t know all possible outcomes or their probabilities.

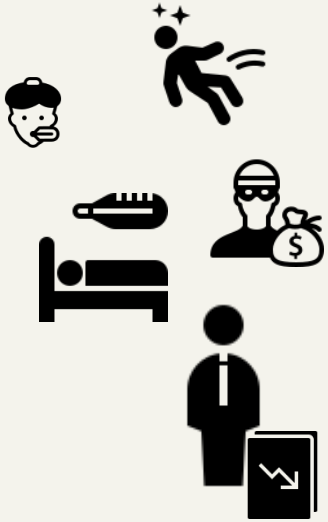
→ The outcome was unpredictable.

Understanding Risk

Types and Categories

Personal Risks

- In our daily lives, we encounter various types of risks that affect our well-being and future:



Business Risks

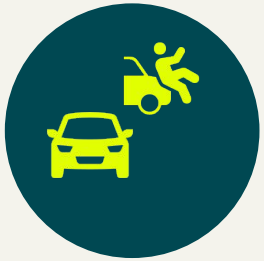
- Organizations face structured categories of risk that require formal management:

From Doorstep to Desk

Navigating Daily Risks

Home / Personal Risks

- Accidents: Slips, Falls
- Sudden illness
- Theft



Travel Risks

- Traffic accidents
- Public transport delays or cancellations
- Road hazards
- Weather conditions

Office / Workplace Risks

- Workplace conflicts & Stress
- Accidents
- System crashes
- Power outage

Financial Risk

- Robbery
- Online Frauds
- Unplanned Expense

Business Risks

THE DAILY NEWS OCTOBER 18TH 2025

CLOVETIMES

theNewspaper
- Since 2004 -

CLOVE TECHNOLOGIES

Editor - Vishal Das

Strategic Risks

The Nano failed to achieve its target market due to poor positioning and marketing – a strategic misstep.

RISK TYPE

Poor product-market fit and brand strategy failure.

Example :-

TATA NANO(TATA MOTORS)

Business Risks

REPU RISK

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Nestlé

Editor - Vishal Das

Reputational Risks

Temporary ban due to alleged lead contamination severely hit brand reputation.

RISK TYPE

Product quality and consumer trust.

Example :-

Nestlé India
(Maggi Ban, 2015)

Business Risks

THE DAILY NEWS OCTOBER 18TH 2025

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theNewspaper
~ Since 2004 ~

CLOVE TECHNOLOGIES

YES BANK

Editor - Vishal Das

FINANCIAL RISKS

Suffered from bad loans and poor asset quality.

RISK TYPE

Credit and capital adequacy risk

Example :-

Yes Bank

Business Risks

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RISK TYPE

Regulatory Non-Compliance

Sahara GROUP

Example :-

Sahara Group

Editor - Vishal Das

Compliance & Legal Risks

Legal action by SEBI for violation of securities regulations.

Business Risks

OPER RISK

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Satyam

Editor - Vishal Das

Operational Risks

Satyam Computers primarily faced operational risk, manifesting as large-scale accounting fraud.

RISK TYPE

Deliberate Falsification of financial statements by top management to deceive stakeholders.

Example :-

Satyam Computers

Business Risks

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Editor - Vishal Das

Political & Regulatory Risks

Impacted by changes in telecom regulations and AGR (Adjusted Gross Revenue) dues.

RISK TYPE

Regulatory and Policy shifts.

Example :-

Vodafone Idea

Business Risks

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Hero MotoCorp

RISK TYPE

Demand fluctuation due to economic slowdown.

Example :-

Automobile Industry
(e.g., Hero MotoCorp, Bajaj Auto)

Editor - Vishal Das

Economic Risks

Sales dropped sharply during COVID-19 lockdowns.

Business Risks

TECH RISK

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SBI

RISK TYPE

Technology infrastructure and cyber risk.

Example :-

State Bank of India (SBI)

Editor - Vishal Das

Technological Risks

Faced temporary service outages and cybersecurity challenges.

Process of Risk Management

Process of
Risk Management

Identify Risk

- Brainstorming
- Checklists
- SWOT
- PESTEL
- What Ifs (Scenario Analysis - Worst/Best Cases)

Assess Risk

- Likelihood and impact
- Risk Matrix
- Prioritization

Mitigate Risk

- Avoid – don't engage in the risk
- Reduce – take precautions
- Transfer – insurance or outsourcing
- Accept – monitor minor risks

Monitor & Review

- Track risk
- Regular review on reforms
- Update strategies

Risk Identification

The first critical step in risk management is **identifying** potential threats **before they occur**

Brainstorming

1. Start with Guiding Questions

- What could go wrong?
- What external factors could affect us?
- What would happen if key resources fail?

2. Cover Major Risk Categories

- People / Human Risks
- Process / Operational Risks
- Financial Risk
- Market / Strategic Risks
- Reputation Risks
- PESTEL Risks

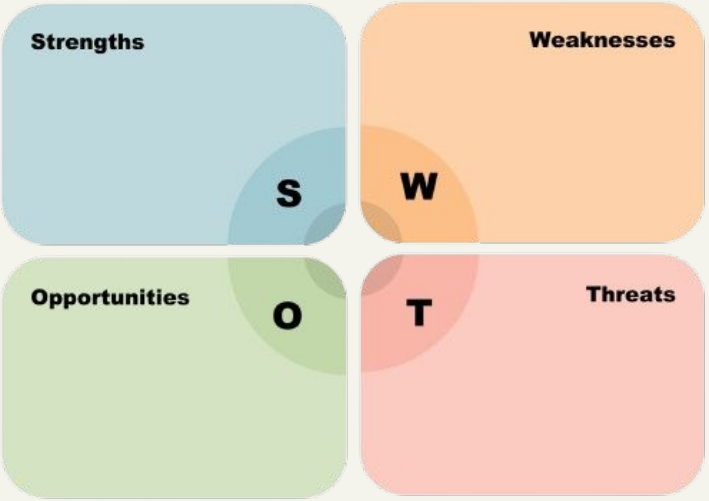
3. Filter and Prioritize

- Group similar risks.
- Rate each risk by likelihood and impact (using your Risk Matrix).
- Shortlist top-priority risks for deeper analysis.

Risk Identification

SWOT Analysis

SWOT helps identify **internal strengths and weaknesses** and **external opportunities and threats** that influence risk.



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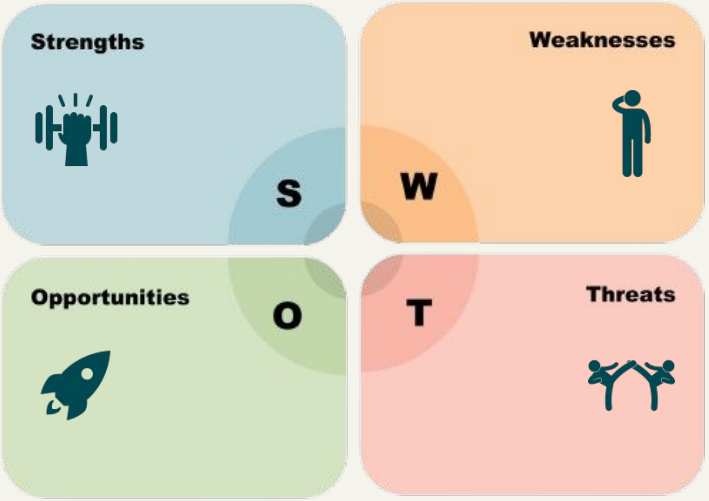


Risk Identification

Factors to be considered - For Business

S

Internal Positives

- Experienced Teams
- Strong Relationships & Partnerships
- Proven Record

W

Internal Negatives

- Miscommunications
- Limited Resources
- Lack of Knowledge/Skills

O

External Openings

- Technology Advancements like AI
- Training Employees
- Financial Planning

T

External Threats

- Market Competition
- Political Changes
- Regulatory Changes

Risk Identification

Factors to be considered - For Personal

S — Your Positives

- Financial Stability
- Health and Wellness
- Strong Support Network

W — Your Negatives

- No insurance coverage
- Lack of Documentation
- Poor Financial Literacy

O — Growth Openings

- Favorable Economic Conditions
- Advancements in Technology
- New Partnerships

T — External Threats

- Economic Instability
- Delay in cash inflows
- Regulatory Changes

Risk Identification

Scenario Analysis

Scenario analysis involves creating different possible futures ("what if" cases) to test outcomes. The common scenarios used are the **Worst Case, the Best Case**, and often a **Base Case** (most likely).

Worst Case:

Simultaneous events with negative outcome

(e.g., job loss, market crash, and major medical expense).

Best Case:

The most favorable outcome

(e.g., rapid revenue growth, significant market expansion, and ideal health).

Base Case:

The expected outcome

Realistic expectations

Risk Assessment

The second critical step in risk management is **assess the** potential threats **before they occur**

Failure frequency from least likely to most likely

impact = *g(business criticality)*

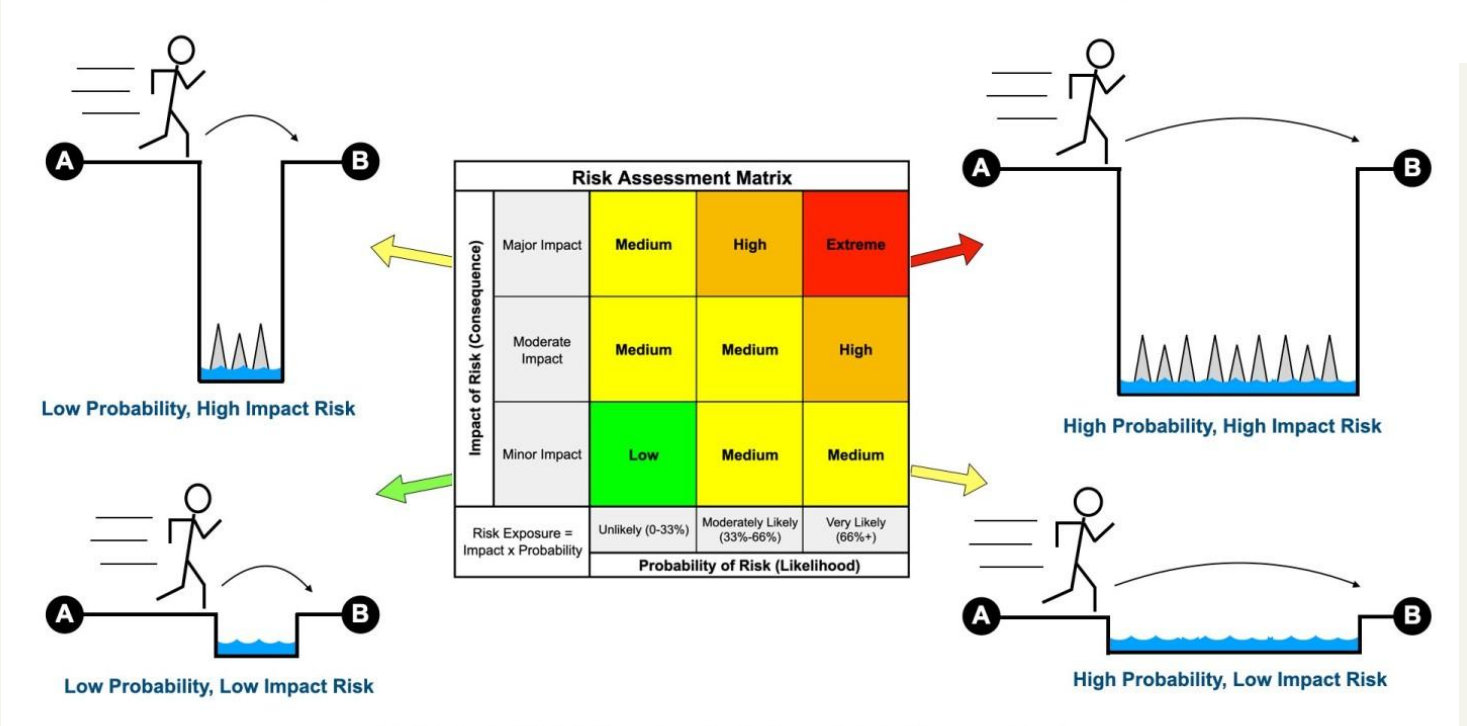
risk = likelihood x impact

likelihood = *f(vulnerabilities, exposure, threats, mitigating controls))*

Severity and damage level/loss level

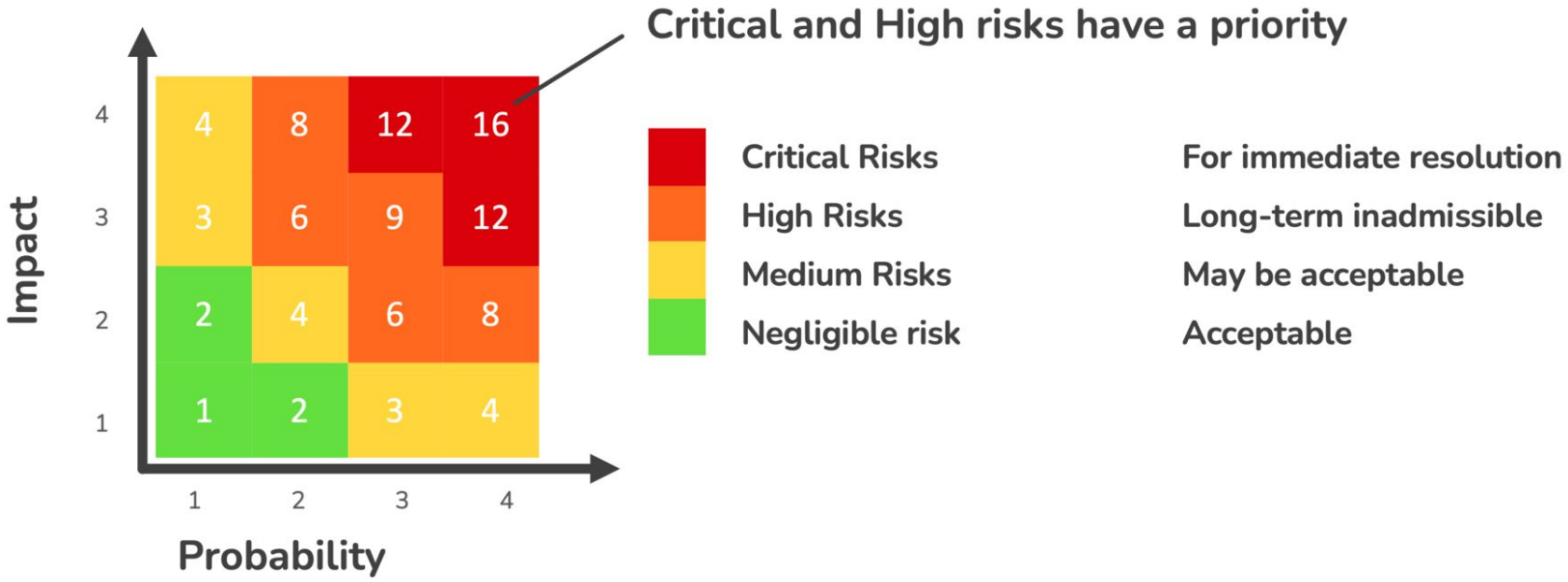
Risk Assessment

Risk Matrix



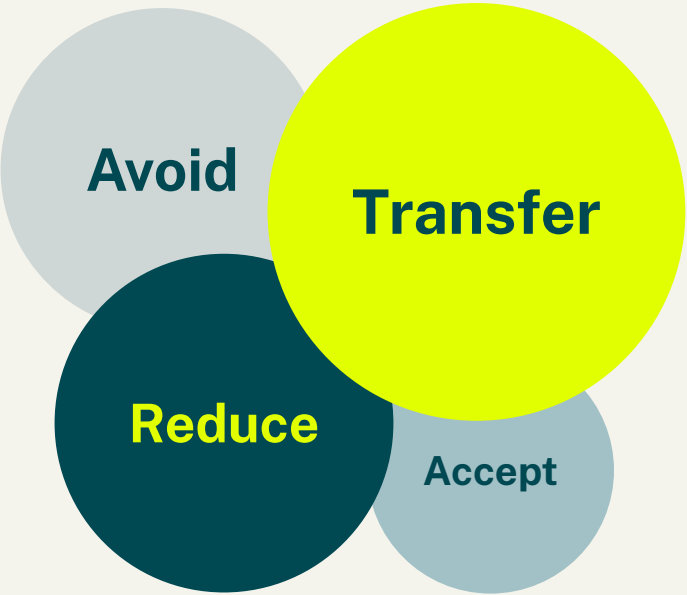
Risk Assessment

Prioritization of Risk



Risk Mitigation

Risk is an unavoidable aspect of life and business; our aim is to strategically navigate and manage it.



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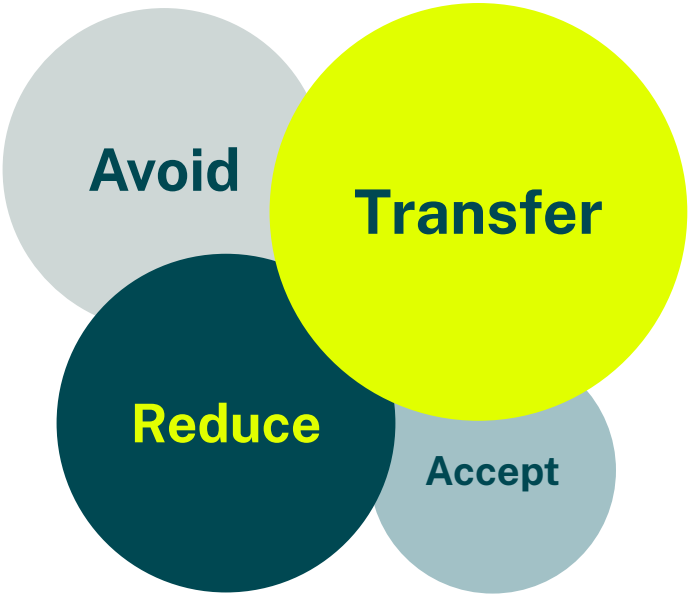
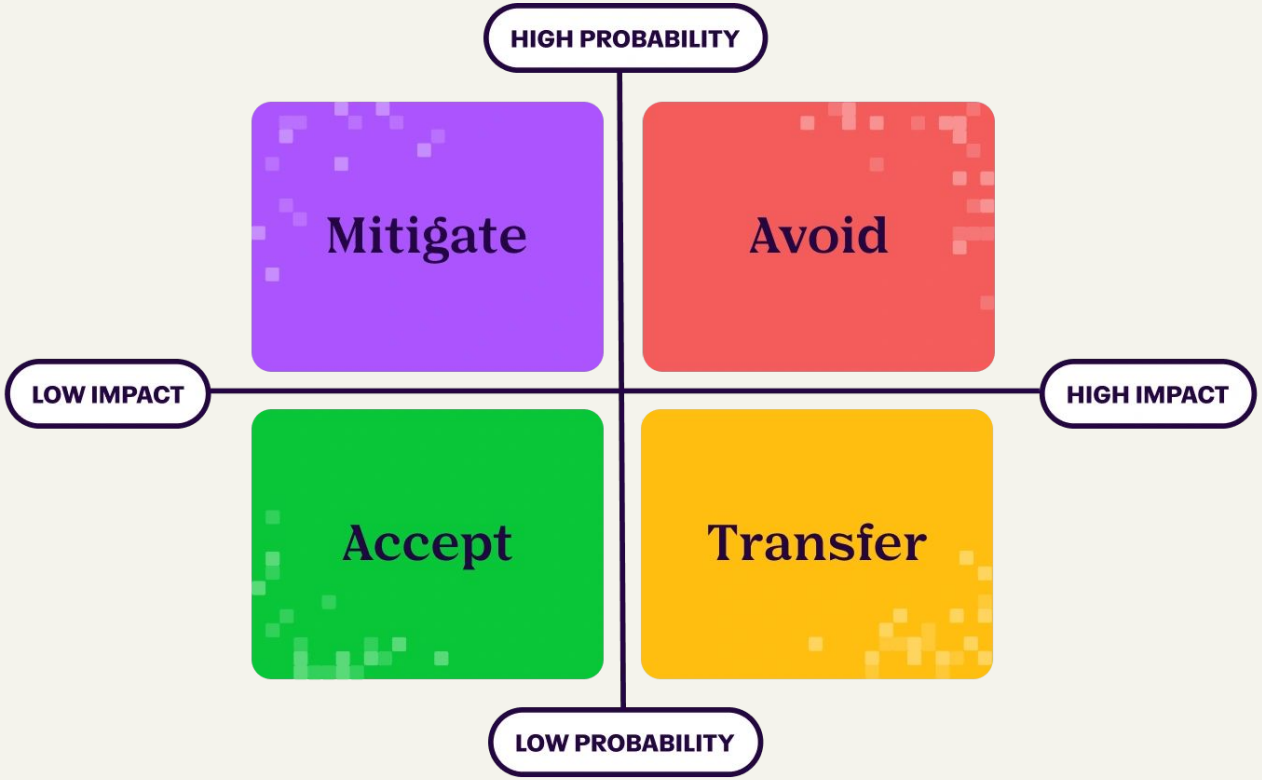


Risk Mitigation



Risk Mitigation

Business view

Avoid the risk

Stop offering a specific service or product fails frequently, that requires complex checks.

Transfer the risk

Outsource to specialized vendor who accepts risk

Mitigate/Reduce the risk

Provide training for employees, upgrade old, failing machinery with more reliable versions.

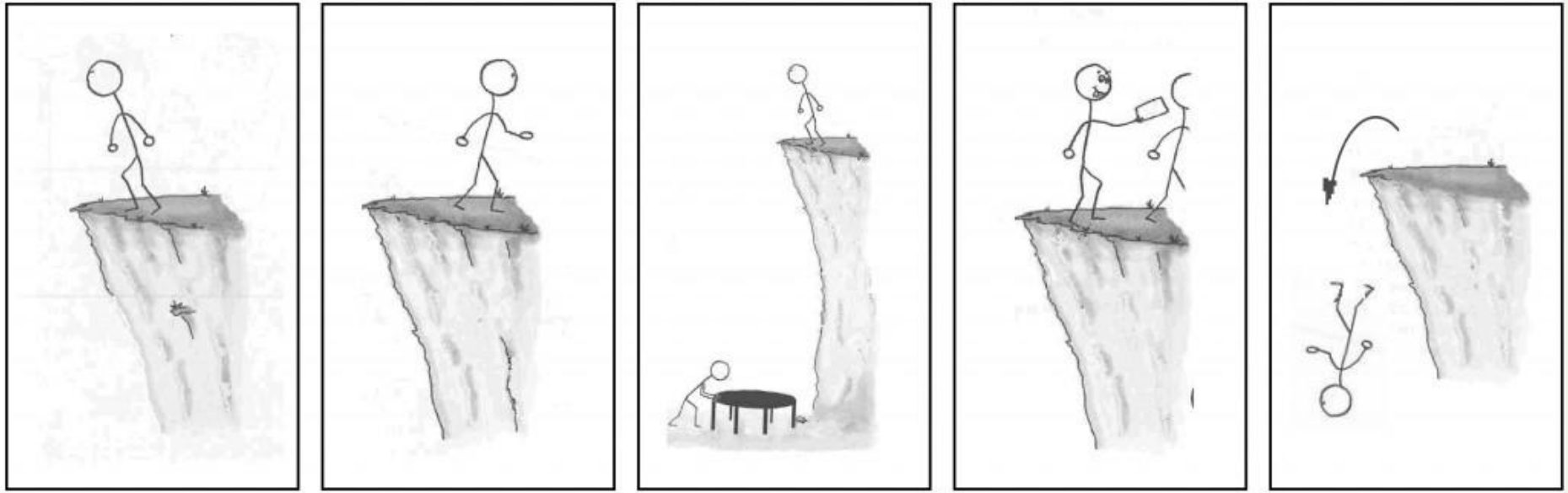
Accept the risk

Establish a detailed contingency plan to recover oprover operations quicky after cent and cover losses by maintaning reserves.

Risk Mitigation

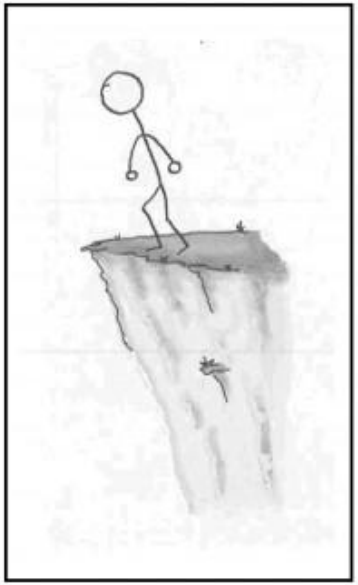
Personal view

Risk Mitigation
Just for fun

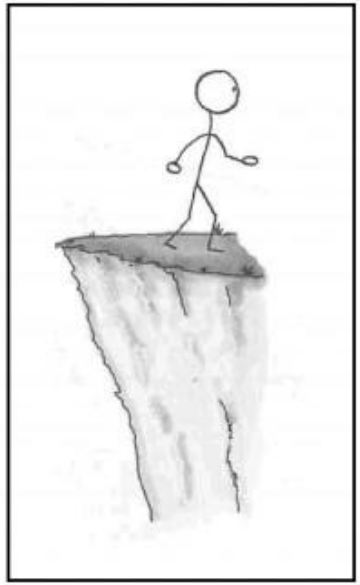


Problem

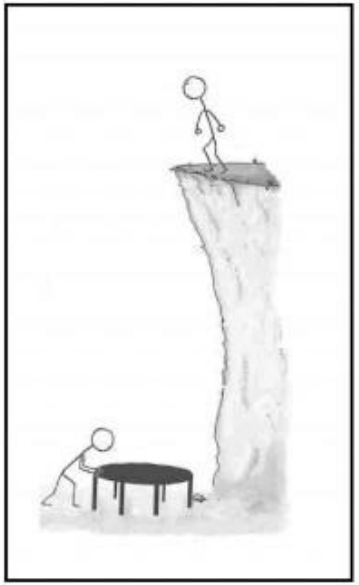
Risk Mitigation
Just for fun



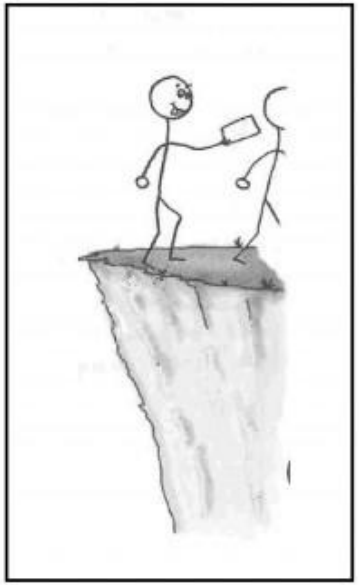
Problem



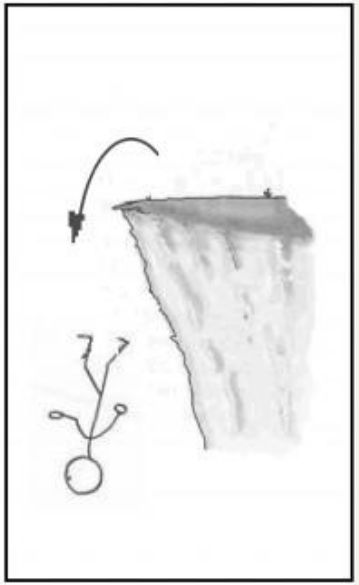
Avoid



Reduce/Mitigate



Transfer



Accept

Thank You!

Risk comes from not knowing what you're doing

-Warren Buffett

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Risk Identification

The first critical step in risk management is **identifying** potential threats **before they occur**

This proactive approach can save significant time, money, and stress

Brainstorming

Lorem Ipsum Title

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